AMD · Q3 FY2026 UPDATE

Data Center carries the quarter; DCF value is 90% below the price

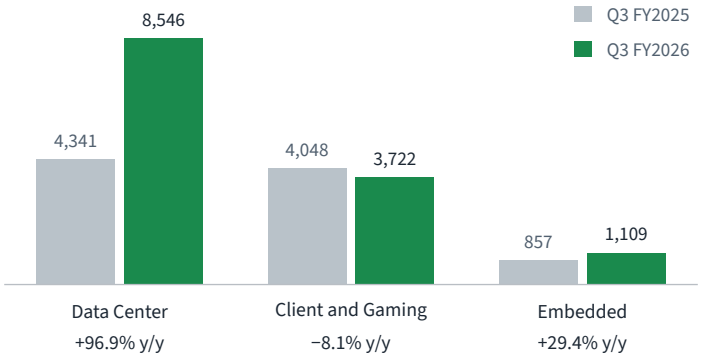
CoverageFlow (automated coverage) · Published with exceptions by Gaetano Marco Chiantia, 12 Nov 2026

- **Revenue** USD 13,377mm in Q3 FY2026, +44.7% y/y (prior-year quarter USD 9,246mm).
- **Margins** Gross margin 53.9% versus 51.7% a year earlier; operating income USD 2,832mm (+123.0% y/y), operating margin 21.2%.
- **Earnings** Diluted EPS USD 1.46 versus USD 0.75 in the prior-year quarter.
- **Segments** Data Center revenue USD 8,546mm, +96.9% y/y, 63.9% of group; Client and Gaming −8.1% y/y.

SUMMARY

AMD delivered a strong quarter, with revenue of USD 13,377mm, up 44.7% year over year, and operating income of USD 2,832mm, up 123.0%[1–4]. Gross margin reached 53.9%, compared with 51.7% a year earlier, while diluted EPS increased to USD 1.46 from USD 0.75[5, 6]. Data Center led the advance; Client and Gaming revenue and operating income declined year over year[7–9]. Our thesis is more dependent on Data Center growth, while the quarter's increase in inventory and accounts receivable raises execution and cash conversion questions[10, 11]. The Gordon DCF indicates a target of USD 47.79 per share and a Sell rating; terminal methods diverge materially, so the output warrants caution[12–14].

Exhibit 1: Revenue by segment, Q3 FY2026 vs Q3 FY2025 (USD mm)



Source: company filings (Form 10-Q), CoverageFlow model engine.

Sources. 1, 2, 6, 10, 11 AMD Form 10-Q, period ended 26 Sep 2026; **3–5, 7–9** CoverageFlow model engine; **12–14** CoverageFlow valuation engine.

Published with exceptions: 1 open finding, **fnd-0007** (major): The note cites values that do not equal the cited ledger entries.

RATING

Sell

Price target	**USD 47.79**
	Gordon DCF; terminal methods disagree
Price	**USD 488.78**
	close, 4 Nov 2026
Implied return	**−90.2%**

KEY DATA

Market cap	**USD 811,864mm**
	computed: price × diluted shares
Net cash	**USD 8,697mm**
	Q3 FY2026
Diluted shares	**1,661mm**
	Q3 FY2026
WACC	**10.0%**
Terminal growth	**2.5%**

DCF VALUE PER SHARE

Gordon growth	**USD 47.79**
	target basis; g = 2.5%
Exit multiple	**USD 92.71**
	21.5x terminal EBITDA

FINANCIAL SUMMARY

USD mm unless stated; EPS in USD; fiscal year

	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	25,785	34,639	41,798	49,216	56,512
Growth y/y	13.7%	34.3%	20.7%	17.7%	14.8%
EBITDA margin	10.0%	12.8%	12.8%	12.8%	12.8%
Diluted EPS	1.00	2.65	n.a.	n.a.	n.a.
Free cash flow	2,405	6,697†	3,205	3,774	4,334

A = reported, E = CoverageFlow DCF base case. Forecast margins held at the base-year level.
EPS is not forecast by the model; forecast FCF is unlevered.
† Figure is quoted in open finding fnd-0007.

Generated by CoverageFlow from SEC filings and market data; information cutoff 4 Nov 2026. Automated analysis for a course project; not investment advice.

Results

Quarterly revenue rose to USD 13,377mm from USD 9,246mm in the prior-year quarter[1]. Gross profit increased to USD 7,210mm from USD 4,780mm, and gross margin expanded to 53.9% from 51.7%[1, 5, 15]. Operating income grew to USD 2,832mm, with operating margin rising to 21.2% from 13.7%[2, 16]. The improvement reflects revenue growth and higher gross profit, partly offset by higher operating expenses, which increased to USD 4,378mm from USD 3,510mm[15, 17].

Net income was USD 2,428mm versus USD 1,243mm, and diluted EPS was USD 1.46 versus USD 0.75[6, 18]. Other income (expense), net was an expense of USD 902mm, compared with income of USD 82mm in the prior-year quarter; interest expense was USD 62mm versus USD 37mm[19, 20]. The non-operating line partly offset the improvement in operating income. For the nine months ended in Q3, revenue was USD 35,166mm versus USD 24,369mm, while operating income was USD 6,298mm versus USD 1,942mm[1, 2].

Operating cash flow for the nine-month period was USD 6,523mm, up from USD 5,109mm[21]. Cash and cash equivalents at quarter end were USD 7,404mm, and short-term investments were USD 8,372mm[21–23]. The company reported USD 7,079mm of long-term debt and no current portion of long-term debt; the model's net-debt measure was negative USD 8,697mm, indicating net cash[24–26].

Exhibit 2 **Income statement summary, Q3 FY2026 vs Q3 FY2025**
USD mm except per share

	Q3 FY2026	Q3 FY2025	y/y	9M FY2026	9M FY2025	y/y
Revenue	13,377	9,246	+44.7%	35,166	24,369	+44.3%
Gross profit	7,210	4,780	+50.8%	18,829	11,575	+62.7%
Gross margin	53.9%	51.7%	+2.2 pp	53.5%	47.5%	+6.0 pp
Operating expenses	4,378	3,510	+24.7%	12,531	9,633	+30.1%
Operating income	2,832	1,270	+123.0%	6,298	1,942	+224.3%
Operating margin	21.2%	13.7%	+7.4 pp	17.9%	8.0%	+9.9 pp
Net income	2,428	1,243	+95.3%	6,108	2,824	+116.3%
Diluted EPS (USD)	1.46	0.75	+94.7%	3.69	1.73	+113.3%

Source: company filings (SEC), CoverageFlow model engine (model_engine@1.0).

Segment detail

Data Center revenue increased to USD 8,546mm from USD 4,341mm, and segment operating income rose to USD 2,882mm from USD 1,074mm[7, 27]. The operating margin increased to 33.7% from 24.7%[7, 27, 28]. Data Center generated the clear majority of quarterly revenue and operating profit growth. Nine-month revenue reached USD 21,039mm, compared with USD 11,255mm, while operating income was USD 6,584mm versus USD 1,851mm[7, 27].

Client and Gaming revenue declined to USD 3,722mm from USD 4,048mm[8]. Segment operating income fell to USD 573mm from USD 867mm, and operating margin narrowed to 15.4% from 21.4%[8, 9, 29]. The nine-month comparison was firmer: revenue increased to USD 11,168mm from USD 10,610mm, though operating income was USD 1,730mm versus USD 2,130mm[8, 9].

Embedded revenue advanced to USD 1,109mm from USD 857mm[30]. Operating income was USD 453mm versus USD 283mm, with margin of 40.8% compared with 33.0%[30–32]. Nine-month revenue grew to USD 2,959mm from USD 2,504mm, and operating income rose to USD 1,177mm from USD 886mm[30, 31]. All Other recorded an operating loss of USD 1,076mm, wider than the USD 954mm loss in the prior-year quarter[33].

Exhibit 3 **Segment results, Q3 FY2026**
USD mm

	Revenue Q3 FY2026	y/y	% of group	Op. income	Op. margin	Revenue 9M FY2026	Op. income 9M FY2026
Data Center	8,546	+96.9%	63.9%	2,882	33.7%	21,039	6,584
Client and Gaming	3,722	−8.1%	27.8%	573	15.4%	11,168	1,730
Embedded	1,109	+29.4%	8.3%	453	40.8%	2,959	1,177
All other	n.a.	n.a.	n.a.	−1,076	n.a.	n.a.	−3,193
Group	**13,377**	**+44.7%**	**100.0%**	**2,832**	**21.2%**	**35,166**	**6,298**

Source: company filings (SEC, segment note), CoverageFlow model engine (model_engine@1.0).

Outlook

Our forecast path assumes that Data Center remains the principal growth contributor, with growth moderating over time. That direction is consistent with the step-up in Data Center quarterly and nine-month revenue, while the prior-year comparison is increasingly demanding[7]. The path assumes a more measured contribution from Client and Gaming after its quarterly revenue decline and lower segment operating income[8, 9]. Embedded is modeled as a gradual recovery, supported by the quarterly and nine-month increases in revenue and operating income, while recognizing its history of lower annual revenue[30, 31].

The valuation uses FY2025 as its base because the supplied nine-month cash-flow history does not provide the capital-expenditure inputs needed to construct a trailing twelve-month base. The historical base was revenue of USD 34,639mm, EBITDA of USD 4,444mm, and free cash flow of USD 6,697mm[34–37]. Those reported cash flows support the model's starting point, but they do not remove the uncertainty around sustained growth, margins, or investment needs.

Valuation

The DCF uses a 10.0% WACC and 2.5% terminal growth[13, 38, 39]. The Gordon method produces equity value of USD 79,383mm and USD 47.79 per diluted share[12, 40]. The exit-multiple method, using 21.5x EBITDA, produces equity value of USD 153,989mm and USD 92.71 per diluted share[14, 41–43]. The terminal values are USD 79,354mm under Gordon and USD 190,106mm under the exit-multiple method; the model flags this gap as outside its tolerance[13, 14]. We therefore use the Gordon output as the target basis, with the divergence showing how sensitive the DCF is to terminal assumptions.

The relative valuation applies peer medians to AMD's FY2025 metrics and yields an indicated value of USD 145.52 per share[44]. The model's DCF and relative-valuation cross-check delta is negative 20.0%, within the stated mandate tolerance, although the terminal methods remain far apart[45]. The peer-derived EV/EBITDA range is broad, from 18.74x to 153.83x, which limits the precision of a single multiple-based conclusion[44]. We retain the Gordon target of USD 47.79 per share and Sell rating[12].

Exhibit 4 **DCF summary**
USD mm

	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	34,639	41,798	49,216	56,512	63,239	68,921
Growth y/y	+34.3%	+20.7%	+17.7%	+14.8%	+11.9%	+9.0%
EBITDA	4,444	5,362	6,314	7,250	8,113	8,842
EBITDA margin	12.8%	12.8%	12.8%	12.8%	12.8%	12.8%
EBIT	3,694	4,457	5,248	6,027	6,744	7,350
Capital expenditure	1,012	1,221	1,438	1,651	1,848	2,014
Free cash flow	**6,697†**	**3,205**	**3,774**	**4,334**	**4,849**	**5,285**
Discount factor	n.a.	0.9863	0.8967	0.8150	0.7409	0.6736
PV of free cash flow	**n.a.**	**3,161**	**3,384**	**3,532**	**3,593**	**3,560**

Discounting: year end at WACC 10.0%; valuation date 2026-11-04.
Base year: fiscal-year fallback (trailing-twelve-month base could not be built).
† Figure is quoted in open finding fnd-0007.
Source: CoverageFlow valuation engine (valuation_engine@2.0), dcf.years.

Exhibit 5 **From enterprise value to value per share**
USD mm

	Gordon growth	Exit multiple
PV of free cash flow	17,230	17,230
Terminal value	79,354	190,106
PV of terminal value	53,456	128,061
Enterprise value	**70,686**	**145,292**
Less: net debt (negative = net cash)	−8,697	−8,697
Less: non-controlling interests	n.a.	n.a.
Equity value	**79,383**	**153,989**
Diluted shares (mm)	1,661	1,661
Value per share (USD)	**47.79**	**92.71**
Implied terminal EV/EBITDA	9.0x	21.5x
Implied terminal growth	2.5%	6.7%

Source: CoverageFlow valuation engine (valuation_engine@2.0), dcf.ev / bridge / terminal.

Exhibit 6 **Gordon DCF value per share by WACC and terminal growth**
USD per share

WACC / growth	0.5%	1.5%	2.5%	3.5%	4.5%
6.0%	66.68	78.44	96.91	130.18	207.79
8.0%	50.09	55.72	63.39	74.48	91.91
10.0%	40.52	43.73	47.79	53.11	60.35
12.0%	34.31	36.33	38.79	41.82	45.66
14.0%	29.95	31.33	32.94	34.85	37.17

Rows: WACC; columns: terminal growth. Boxed cell is the base case.
Source: CoverageFlow valuation engine (valuation_engine@2.0), sensitivity.grid.

Exhibit 7 **Peer multiples**
as of 4 Nov 2026

	EV/EBITDA	P/E (TTM)	P/S	Rev. growth
INTC	153.8x	n.a.	5.2x	−0.5%
NVDA	24.2x	25.2x	16.0x	+65.5%
QCOM	18.7x	13.6x	4.3x	−2.6%
AVGO	n.a.	41.6x	17.9x	+23.9%
Median	**24.2x**	**n.a.**	**10.6x**	**n.a.**

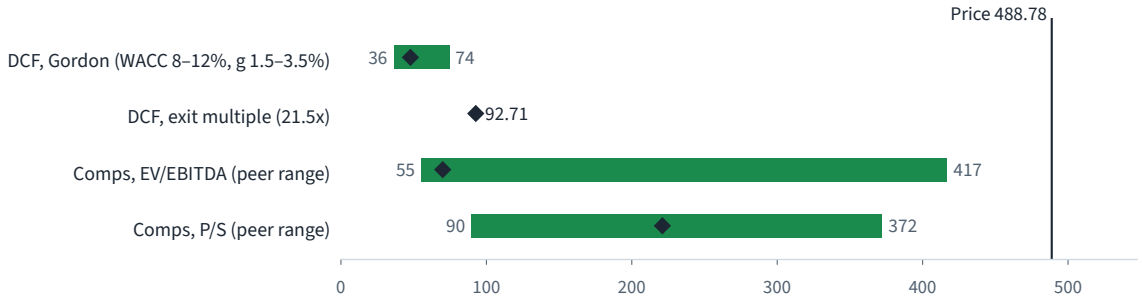
Source: SEC companyfacts and closing prices (peer block), CoverageFlow valuation engine (valuation_engine@2.0).

Exhibit 8 **Relative valuation of AMD**
USD mm; per share in USD

	AMD metric	Peer median	Per share
EV/EBITDA on FY2025 EBITDA	4,444	24.2x	69.98
P/S on FY2025 revenue	34,639	10.6x	221.06
Comps-implied value (average)			**145.52**†

Comps-implied value versus price: −70.2%.
DCF and relative valuation agree within mandate tolerance.
† Figure is quoted in open finding fnd-0007.
Source: CoverageFlow valuation engine (valuation_engine@2.0), comps.applied.

Exhibit 9 **Valuation range, USD per share**
USD per share



Bars show ranges, diamonds the point estimate (median multiple, base-case DCF); the vertical line is the share price.
Source: CoverageFlow valuation engine (valuation_engine@2.0), dcf, sensitivity, comps.

Risks

The principal operating risk is that growth remains concentrated in Data Center while other segments contribute less. Data Center represented 63.9% of quarterly revenue; Client and Gaming revenue declined, and All Other's operating loss widened[8, 33, 46]. A slowdown in the largest segment would therefore weigh heavily on consolidated results.

Working capital is another watch point. Inventory rose to USD 11,463mm from USD 7,920mm at FY2025, while accounts receivable increased to USD 9,209mm from USD 6,315mm[10, 11]. If shipments or customer collections weaken, these balances could constrain cash conversion. Finally, the terminal-value spread between valuation methods makes the target sensitive to assumptions about long-run growth and exit value; the Gordon DCF is substantially below the exit-multiple result[13, 14].

Sources and controls

INPUT DOCUMENTS

Document	Form	Period ended	Filed	SHA-256 (first 12)
amd-10k-fy2024	10-K	28 Dec 2024	5 Feb 2025	9f1e660458aa
amd-10k-fy2025	10-K	27 Dec 2025	4 Feb 2026	24724a71abca
amd-10q-2025q1	10-Q	29 Mar 2025	7 May 2025	38837430579f
amd-10q-2025q2	10-Q	28 Jun 2025	6 Aug 2025	95bda811f43e
amd-10q-2025q3	10-Q	27 Sep 2025	5 Nov 2025	c470cdf079a6
amd-10q-2026q1	10-Q	28 Mar 2026	6 May 2026	7e04ff77ce5d
amd-10q-2026q2	10-Q	27 Jun 2026	5 Aug 2026	2940323fe639
amd-10q-2026q3	10-Q	26 Sep 2026	4 Nov 2026	11ee28589c28
amd-8k-2025-10-27	8-K	27 Oct 2025	27 Oct 2025	548e7022ca42
amd-8k-2026-11-03	8-K	3 Nov 2026	3 Nov 2026	fb8c8664131a

EVIDENCE REFERENCES

Ref.	Source	Statement	Items cited
1, 2, 6, 15, 17–20	AMD Form 10-Q, period ended 26 Sep 2026	Condensed Consolidated Statements of Operations	Net revenue; Operating income; Diluted earnings per share; Gross profit; Total operating expenses; Net income; Other income (expense), net; Interest expense
10, 11, 22–25	AMD Form 10-Q, period ended 26 Sep 2026	Condensed Consolidated Balance Sheets	Inventories; Accounts receivable, net; Cash and cash equivalents; Short-term investments; Long-term debt, net; Current portion of long-term debt, net
21	AMD Form 10-Q, period ended 26 Sep 2026	Condensed Consolidated Statements of Cash Flows	Net cash provided by operating activities
33	AMD Form 10-Q, period ended 26 Sep 2026	NOTE 4 – Segment Reporting	All other
36	AMD Form 10-K, period ended 27 Dec 2025	Consolidated Statements of Cash Flows	Purchases of property and equipment
3–5, 7–9, 16, 26–32, 46	CoverageFlow model engine	Model series	derived: revenue_yoy, operating_income_yoy, gross_margin, operating_margin, net_debt; segments: data_center.revenue, client_and_gaming.revenue, client_and_gaming.operating_income, data_center.operating_income, data_center.operating_margin, client_and_gaming.operating_margin, embedded.revenue, embedded.operating_income, embedded.operating_margin, data_center.revenue_share_of_total
12–14, 34, 35, 37–45	CoverageFlow valuation engine	Valuation outputs	dcf: per_diluted_share.gordon, terminal.gordon.terminal_value, terminal.exit_multiple.terminal_value, base.revenue, base.ebitda_margin, wacc, terminal.gordon.terminal_growth, equity_value.gordon, per_diluted_share.exit_multiple, equity_value.exit_multiple; comps: applied.ev_ebitda.own_metric, own_band; assumptions: exit_multiple_ebitda; cross_check_delta: cross_check_delta

DECISION RECORD

Record	Decision	By	Date	Reasoning
apr-0001	PUBLISHED_WITH_EXCEPTIONS	Gaetano Marco Chiantia	12 Nov 2026	Approved.

OPEN FINDINGS AT PUBLICATION

Finding	Severity	Summary
fnd-0007	major	The note cites values that do not equal the cited ledger entries: USD 6,697mm FCF is not supported by the cited capex value, and USD 145.52 per share is not supported by the cited own_band object.

PROVENANCE

Item	Value	Item	Value
Information cutoff	4 Nov 2026	Evidence bundle	amd-2026-11 (sha256 a529f4f58c89)
Case	amd-fy2026q3r3-20261104	Model engine	model_engine@1.0
Candidate	cand-aa8902380152	Valuation engine	valuation_engine@2.0
Report version	v1-cand-aa8	Fact extraction prompt	1.8

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